8670/square feet during this golden decade. Elsewhere, in Lower Parel (Mumbai), a flat selling for Rs 4500/square feet in 2003 sold for Rs 35,000/square feet in 2013, going up 7.7 times.

For most buyers of such properties, who used a mortgage, the return on the amount invested (or RoE) is mindboggling.[3] More importantly, outsized gains on this scale leave a lasting imprint on not just those who made the gains but also on their friends and relatives—envy is a powerful emotion. However, as we learnt subsequently, 2003–13 was the best period for residential real estate in India and, in all likelihood, it will be a long time before we see another such period of price appreciation. In fact, in a downward pricing spiral, investors in an illiquid and tax-unfriendly asset class such as real estate can really get squeezed on their mortgages as their modest equity is wiped out by the drop in the price of the property (a phenomenon known as ‘negative equity’).

Absolute returns versus compounded returns: All investment decisions have to be considered relative to their opportunity costs.[4] Most real estate investors are usually satisfied simply because they look at absolute returns in isolation. Thus, an investor may have a very fond memory of his property going up by five times in the last twenty years. But the compounded annualized return that property has generated over the last twenty years is just 8.3 per cent. In that same period, the Indian stock market’s benchmark index is likely to have risen at 15 per cent per annum which, compounded over twenty years, translates to a sixteen-times return! We have lost count of the number of real estate millionaires we met in India who have never done this ‘opportunity cost’ comparison.

The Coffee Can in real estate: Investors also invest in real estate because most of them burn their fingers in stocks. They usually see real estate investments as being safer than their stock investments. What they don’t realize is this is because of the inadvertent Coffee Can style of investing that they adopt in real estate as against the trading style in their stock portfolios, i.e. when it comes to real estate, investors are happy to buy and hold for long